

to apply them in a due course of administration (*g*), and it has been held (*h*) that a mortgagee in possession is so [*191] strictly a trustee, that he is liable even after a *transfer for the rents and profits subsequently accrued, but the case was probably decided upon its own special circumstances, for a mortgagee has surely a right to transfer his mortgage without notice to the mortgagor, though in the latter case he may not be allowed the costs of the transfer (*a*), and, if he be entitled to transfer, how can he be held responsible as for a breach of trust (*b*)?

25. **Fraud in attorney.**—Again, where A. contracted for the sale of *part* of his estate, and the purchaser requiring a fine to be levied, B., who was A.'s attorney, and also his heir-apparent, advised a fine to be levied of the *whole* estate, whereby the will of the vendor was revoked, and the part not included in the sale descended to B. as his heir-at-law, it was held that the devisee under the will could call upon B. as a constructive trustee (*c*). "You," said Lord Eldon, "who have been wanting in what I conceive to be the duty of an attorney, if it happens that you get an advantage by that neglect, you shall not hold that advantage, but you shall be a trustee of the property for the benefit of that person who would have been entitled to it if you had known what as an attorney you ought to have known, and, not knowing it, you shall not take advantage of your own ignorance" (*d*).

(*g*) *Coppring v. Cooke*, 1 Vern. 270; *Bentham v. Haincourt*, Pr. Ch. 30; *Parker v. Calcroft*, 6 Mad. 11; *Hughes v. Williams*, 12 Ves. 493; *Maddocks v. Wren*, 2 Ch. Rep. 109.

(*h*) *Venables v. Foyle*, 1 Ch. Ca. 3.

(*a*) *Re Radcliffe*, 22 Beav. 201.

(*b*) See *Kingham v. Lee*, 15 Sim. 400. [It is singular that there is no modern case upon this point, but the liability of the mortgagee may perhaps be supported on the ground that by entering into possession he has made himself a trustee for the mortgagor of the rents and profits, and that the transfer without the consent

of the mortgagor merely constitutes the transferee to be the agent of the mortgagee for the receipt of the rents and profits, and leaves the mortgagee liable for the acts of his agent; and see *Coote on Mortgages*, 5th ed., 720, 809; *Fisher on Mortgages*, 4th ed., 854.]

(*c*) *Bulkley v. Wilford*, 2 Cl. & Fin. 177; *S. C.* 8 Bligh, N. S. 111; and see *Segrave v. Kirwan*, Beat. 157; *Nanney v. Williams*, 22 Beav. 452; [*Keough v. M'Grath*, 5 L. R. Ir. 478; *Lysaght v. M'Grath*, 11 L. R. Ir. 142; *Re Birchall*, 44 L. T. N. S. 243.]

(*d*) 2 Cl. & Fin. 177.